

Tidewell Distribution Group, LLC

Foodservice packaging | Janitorial & sanitation supplies
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MEMORANDUM

TO: Wade A. Carrow, CEO; Nadia Pruitt, CFO
FROM: Jamal Whitaker, Controller; S. Kaminski, Operations Manager
DATE: January 8, 2026
RE: Write-off of PFAS-treated molded fiber inventory - December 31, 2025

Three major foodservice customers, including our two largest (Coastal Kitchen Co., Island Grill Franchise Group and Lowcountry Hospitality Group), require PFAS-free molded fiber from January 1, 2026. Greenleaf Molded Fiber discontinued its fluorotreated line on November 30, 2025 and will not accept returns. We found no other buyer for the remaining stock, and it was hauled for disposal on January 6, 2026.

SKU	Cases	Unit cost	Extended
MF-99C 9x9 clamshell (fluorotreated)	1,240	38.50	47,740.00
MF-66H 6x6 hinged container (fluorotreated)	980	31.20	30,576.00
MF-12B 12 oz bowl (fluorotreated)	1,450	22.40	32,480.00
MF-24B 24 oz bowl (fluorotreated)	820	27.90	22,878.00
MF-103P 10 in 3-compartment plate (fluorotreated)	439	34.00	14,926.00
Total write-off	4,929		148,600.00

Total write-off: \$148,600.00, recorded to 5300 Inventory Adjustments & Write-offs on December 31, 2025.

Following the transition, all remaining molded-fiber SKUs are certified PFAS-free. Routine cycle count adjustments (about \$3,000 a month) and the annual physical count adjustment (\$8,940 at March 31, 2025) are not part of this write-off.